TRADE REVIEW

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Name: Costco Wholesale Corp (COST) **Entry:** Jan 2026
Style: Tactical Exhaustion / Support **Risk:** ~1%

Setup

This is **not** a relative strength or momentum trade. This was a tactical entry in a high-quality name sitting on major support with multiple exhaustion signals lining up at the same level.

COST had been selling off for weeks after a strong prior run. Price worked down into a well-defined support zone around **$868** while the weekly RSI undercut 30, a level it rarely reaches. I wasn't looking for strength here. I was looking for sellers to run out of gas.

Thesis

Three things lined up at the same level:

- **Weekly RSI undercut 30.** COST almost never gets this oversold. Historically, when it does, it marks a turning point rather than the start of further downside.
- **DeMark buy signal.** A 9 below 6 triggered near support. This isn't in the standard TD Sequential book, but DeMark has discussed it in interviews as having edge. I use it strictly as a timing overlay when structure already defines risk.
- **Major support at $868.** Clean level that defined risk. If it fails, I'm wrong quickly. If it holds, upside back into the range is meaningful.

The whole point of this trade was asymmetry. Risk was tight and well-defined, and the reward if exhaustion played out was a move back toward the middle of the range.

Execution & Risk

- Entry taken on the reclaim and hold of **$868** support.
- Stop below structure, risking roughly **$28** per share.
- Sized at ~1% account risk.

I didn't need to get cute with targets on this one. The setup was simple: defined downside, and if I was right, I'd ride the mean-reversion move and manage it from there.

Management

This trade was managed differently than my RS setups. I'm not using moving averages or momentum expansion as confirmation here. The question was simply whether support held.

Once the trade worked, there was nothing to do. I let it run and waited for a reason to get out. That reason came when COST closed below the 12-day SMA. I locked in the gain at that point, roughly **$100 per share** from entry.

Why This Trade Is Different

This is intentionally different from my typical process.

- My RS trades focus on leadership, momentum, and continuation.

- This trade was about exhaustion, support, and mean-reversion.

The tools reflect that. RSI and DeMark are used here for exhaustion timing, not trend identification. I'm not mixing frameworks — this is a separate playbook for a specific type of setup.

Key Takeaways

- When a high-quality name reaches extreme oversold levels on clear structure, the asymmetry can be worth acting on.
- DeMark's 9 below 6 signal is most useful as a timing overlay when risk is already well-defined by price structure.
- Managing tactical trades differently than core RS trades keeps discipline intact.
- Clear structural risk lets you take the trade without needing a narrative. If support holds, you stay. If it doesn't, you're out.

Appendix: Price Action

Figure 1: Weekly chart showing COST's selloff into $868 support with RSI undercutting 30.

Figure 2: Daily chart with DeMark Sequential showing the 9 below 6 buy exhaustion signal near major support.

This note reflects a tactical exhaustion setup and is not representative of my default relative strength framework.